Our costs and selling price

Cost, price & marketing (links Maths).

Gardening and enterprise
Resilience & Change

The offer we are costing

Use the chosen offer or the invented starter-pot model.

List every material and the amount needed.

Keep actual checked costs separate from model figures.

Ten units in the invented model. Actual figures stay blank.

Invented cost for ten units

Material	Quantity multiplied by cost for one
Pots	10 × £0.20 = £2.00
Growing medium	10 × £0.10 = £1.00
Starter plants	10 × £0.30 = £3.00
Labels and care cards	10 × £0.10 = £1.00
Total batch cost	£2.00 + £1.00 + £3.00 + £1.00 = £7.00

Invented prices only. All ten units are costed.

Unit cost and chosen price

Unit cost: £7.00 divided by 10 = £0.70.

Invented selling price: £1.00 for one unit.

Seven sales cover this already-spent £7.00 batch cost.

This assumes no other costs, fees or refunds.

A price decision

Do seven £1.00 sales cover the already-paid £7.00 batch?

A Yes. Sales income is £7.00.

B No. Sales income is £0.70.

Invented model only. Assume no other costs.

Our actual costing record

Field	Actual figure or check
Batch materials	Quantity ____ Materials ____
Costs	Line totals ____ Other costs ____
Unit cost and price	Total ÷ batch size ____ Price ____
Break-even	Sales needed ____ Assumptions ____

Unknown costs stay to check. Use your book or the record.

My costing evidence

Our cost per unit is ____;

our proposed price is ____ because ____.

Explain your own calculation or a supported check.

Review and next step

Check quantity, line totals and any other costs.

Explain the price and the break-even assumptions.

Keep the real costing record separate from the model.

Next session: a clear poster or label and a ten-word pitch.